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Standard Chartered | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

Standard Chartered (2888.HK)	From	To
Price Target	HK\$173.00	HK\$176.70
Bull Case	HK\$269.80	HK\$278.00
Base Case	HK\$161.40	HK\$164.40
Bear Case	HK\$60.20	HK\$60.40
Updated Components		
EPS		
Investment Thesis		
Bull Base Bear Scenarios		

Risk Reward for Standard Chartered (2888.HK) has been updated

Reason for change

Post 3Q25 results, we have revised up earning estimates for 2025e/26e/27e by 11%/3.5%/2%. Higher revenue estimates for all three years were mainly driven by higher NII estimates, reflecting better balance sheet growth and sound management of deposit pass-through rates. We have left cost estimates unchanged for all three years. We have revise down credit charges estimates for 2025, and left ECL charges for 2026e/27e largely unchanged.

Post our earnings estimates upgrades, we have revised up bear/base/bull case values by 0.4%/1.9%/3%. Our PT is now at HK\$176.7; retain OW.

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Morgan Stanley appreciates your support in the 2026 Extel (ex-Institutional Investor) Asia Research Survey. Voting opens 12 November 2025.

Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$176.70
Shr price, close (Oct 30, 2025)	HK\$159.50
52-Week Range	HK\$159.50-86.25

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (US\$)**	1.73	2.10	2.27	2.68
Prior EPS (US\$)**	-	1.90	2.19	2.62

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Standard Chartered (2888.HK)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

PRICE TARGET HK\$176.70

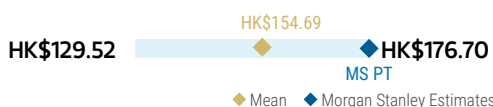
Gordon Growth model, probability-weighted 20% bull, 70% base, 10% bear (based upon likelihood of different macro outcomes, as well as returns and franchise improvement).

Key assumptions:

- 11% cost of equity base, 10.3% bull, 15.5% bear.
- Return on allocated equity: 10.3 bull, 9% base, 15.5% bear

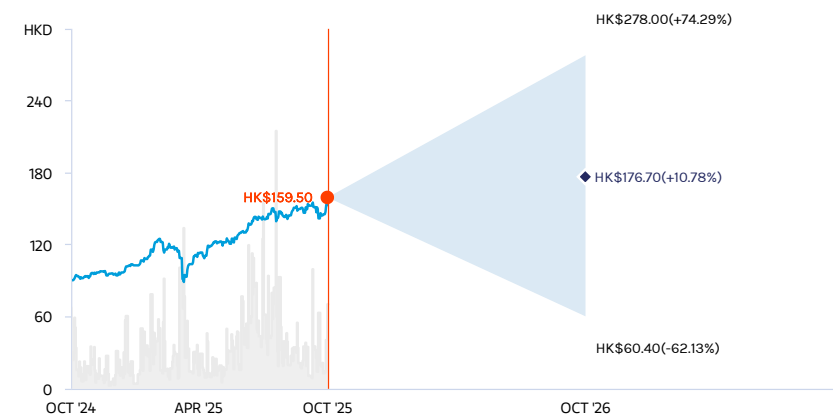
The result: target P/Bs 2.0x bull, 1.2x base, 0.5x bear.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



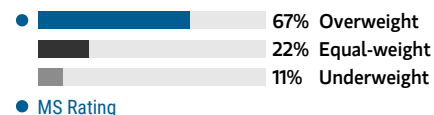
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- **Turn in the rate cycle set to lower NIM over the next five years:** However, hedging plus improved loan and fee growth (especially wealth fees) should help Standard Chartered more than mitigate the impact in the medium term.
- **RoTE set to improve in 2025 and approach cost of capital:** We forecast RoTE of 13.1% in 2025. We see RoTE above 14% from 2027 onward.
- **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs:** This will make continued fee generation key especially as NIM is under pressure from lower rates
- **High payouts to shareholders.** Share buybacks and dividends of US\$7.5bn forecast for 2025-26.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$278.00

12.5x bull case 2026e EPS

Adaption to US tariffs leads to more resilient Asian GDP growth: The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

BASE CASE

HK\$164.40

9.3x base case 2026e EPS

Returns exceed 13% in 2027: Top line grows, with modest NIM pressure post 2024. Cost control is good. Credit quality remains sound.

BEAR CASE

HK\$60.40

5.4x bear case 2026e EPS

Macro disappointment, increased geopolitical risk: Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

Risk Reward – Standard Chartered (2888.HK)

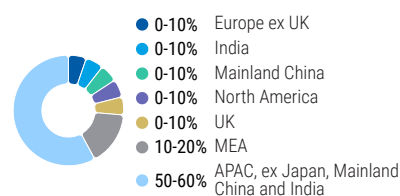
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Loan growth (%)	(2.1)	3.3	4.6	4.7
NIM (%)	2.06	1.98	1.93	1.84
Core PPOP growth (%)	28.1	0.0	13.8	(5.6)
Credit Costs (%)	0.19	0.26	0.32	0.30

INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver of cost targets

OWNERSHIP POSITIONING

Inst. Owners, % Active 68.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (US\$, mn) 20,840 21,103 21,285 22,047

Net income (US\$, mn) 4,074 5,112 4,801 5,726

EPS (US\$) 1.42 2.27 2.15 2.51

DPS (US\$) 0.41 0.47 0.50 0.62

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of September 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 10/31/25 GMT in HKD Industry : Hong Kong Financials



Stock Rating History: 11/1/20 : E/C; 10/17/22 : O/I

Price Target History: 10/8/20 : 41; 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/30/2025)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$38.18
HSBC Holdings (0005.HK)	++	HK\$108.00
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$159.50
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$432.40

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* Historical prices are not split adjusted.

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